



The Talent Partner Unlocking Tomorrow's Workforces

Retail Banking, KYC & Financial Crime Foundations

Open-Source Research & KYC Data Analysis

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Gathering KYC / Customer Data



Gathering KYC / Customer Data

Purpose of KYC & Customer Identification



1

Why KYC is Important



Helps verify the identity of customers and understand who they are



Supports risk assessment and informed decision-making



Helps prevent financial crime such as money laundering, terrorist financing and fraud



Supports regulatory compliance and reduces legal and reputational risk

2

What is Collected at a High Level



Legal name and identifying details (e.g., date of birth, identification number)



Residential or business address



Occupation, employment and business information



Nature and purpose of the relationship and expected activity



Information on beneficial owners and control persons (where applicable)

3

How Information is Collected



Customer-provided information (e.g., application forms and supporting documents)



Government-issued identification documents (e.g., passport, driver's license, state ID)



Non-documentary verification methods (e.g., database checks, independent sources)



Review of internal and external information (where appropriate)

4

Key Objectives



Confirm the customer's identity



Understand the customer's risk profile



Determine the appropriateness of the relationship



Support ongoing transaction monitoring



Maintain accurate and up-to-date customer records

5

Outcome of Effective KYC



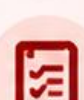
Greater confidence in the identity of customers



Better ability to identify higher-risk customers and activities



Early detection of potential red flags



More effective monitoring and risk management



Stronger compliance with regulatory requirements

Key Elements Supported by KYC Information



Identity verification



Customer risk assessment



Regulatory compliance



Account monitoring



Investigation support



Accurate record keeping

Gathering KYC / Customer Data

Individual vs. Legal Entity Customers



1

Why This Distinction Matters



Helps apply the right identification and verification requirements



Supports accurate risk assessment



Reduces the risk of misidentification or incomplete information



Ensures compliance with applicable regulations and bank procedures

2

Individual Customers



Natural persons (e.g., consumer, employee, self-employed individual)



Key information typically includes name, date of birth, residential address and identification number



Identity verified using government-issued documents and/or non-documentary methods



Occupation, employment and purpose of the relationship collected as part of KYC

3

Legal Entity Customers



Business entities such as corporations, LLCs, partnerships, sole proprietorships, trusts and other organizations



Key information typically includes legal name, formation details, registered address and tax identification number (e.g., EIN)



Ownership and control information (beneficial owners and control persons) collected as required



Formation and supporting documents reviewed (e.g., certificate of incorporation, articles of organization)

4

Key Differences



Individuals are natural persons; legal entities are separate legal structures



Different types of documents and verification methods are used



Legal entities require collection of ownership and control information



Risk factors and expected activity may differ based on customer type

5

Outcome of a Proper Distinction



More accurate customer risk profiling



Appropriate application of due diligence measures



Better identification of potential risks (e.g., complex ownership structures, higher-risk industries)



Supports ongoing monitoring and regulatory compliance

Common Customer Types



Individual (consumer)



Individual (self-employed)



Sole proprietorship



Corporation



LLC



Partnership



Trust



Non-profit organization



Other legal entities

Gathering KYC / Customer Data

CIP Data Collection & Identity Verification



1

Why CIP Data Collection is Important



Helps verify the identity of the customer in line with regulatory requirements



Supports risk assessment and customer due diligence



Helps prevent financial crimes such as money laundering, fraud and identity theft



Provides a foundation for ongoing monitoring and account management

2

Minimum CIP Information to Collect



Legal name (full name)



Date of birth



Residential address (for individuals) or business address (for legal entities)



Identification number (e.g., SSN/ITIN for individuals)



Other information as required by bank policy and applicable regulations

3

Acceptable Identity Documents



U.S. passport (current and unexpired)



State-issued driver's license (current and unexpired)



State-issued identification card



Foreign passport (where applicable and in line with bank policy)



Other acceptable government-issued documents

4

Verification Methods



Documentary verification (review of original or certified copies of identity documents)



Non-documentary verification (e.g., database checks, credit header information, contact verification)



Check for authenticity and validity of documents



Confirm that information is consistent across different sources



Resolve any discrepancies before account approval

5

Outcome of Effective CIP Collection



Confirms the customer's identity



More accurate customer risk profile



Early identification of potential red flags



Supports ongoing monitoring and regulatory compliance



Helps maintain the integrity of the bank's customer base

Typical CIP Data Collection Flow



Collect required information



Obtain and review identity documents



Perform non-documentary verification (as applicable)



Confirm consistency of information



Resolve any discrepancies



Complete customer profile

Gathering KYC / Customer Data

Documentary & Non-Documentary Verification Methods



1

Why Multiple Verification Methods



Helps confirm the customer's identity with greater confidence



Reduces the risk of identity fraud and misrepresentation



Supports regulatory compliance with CIP and KYC requirements



Provides a more complete and reliable customer record

2

Documentary Verification Methods



Government-issued photo ID (e.g., passport, driver's license, state ID)



Legal entity documents (e.g., certificate of incorporation, articles of organization)



Supporting documents (e.g., proof of address, formation documents)



Review for authenticity, validity and consistency with customer information

3

Non-Documentary Verification Methods



Database checks (e.g., credit bureau, third-party identity verification tools)



Address verification (e.g., utility records, commercial databases)



Contact verification (e.g., phone number and email validation)



Independent sources (e.g., reputable public records, trusted third-party data sources)

4

Key Considerations



Use a combination of documentary and non-documentary methods



Ensure information is consistent across sources



Verify that documents are genuine and not altered



Consider risk factors to determine the level of verification needed



Document the verification steps and results in the customer record

5

Outcome of Effective Verification



Increased confidence in the customer's identity



More accurate customer risk assessment



Early detection of potential red flags



Supports ongoing monitoring and risk management



Stronger compliance with regulatory requirements

Examples of Documentary Verification



Passport



Driver's license



State ID



Certificate of incorporation



Articles of organization



Utility bill (proof of address)

Examples of Non-Documentary Verification



Credit bureau checks



Address verification



Phone/Email verification



Third-party databases



Reputable public records

Gathering KYC / Customer Data

Occupation, Employment & Business Information

EMPLOYMENT VERIFICATION
BUSINESS REGISTRATION
INDUSTRY INFORMATION
INCOME DETAILS
CUSTOMER PROFILE

Customer Information



- ✓ Occupation
- ✓ Employment Details
- ✓ Business Information
- ✓ Industry
- ✓ Source of Income
- ✓ Expected Activity

BUSINESS LICENSE
EMPLOYMENT RECORDS
WEBSITE INFORMATION
INDUSTRY RESEARCH

1

Why This Information is Important



Helps assess the customer's legitimacy and understand how they generate income



Supports risk assessment and appropriate monitoring



Helps identify potential red flags (e.g., high-risk industries or inconsistent information)



Supports compliance with regulatory requirements and bank policies

2

Key Information to Collect



Occupation / job title (for individuals)



Employer name and employment status (e.g., full-time, self-employed, retired, student)



Business name and type of business (for legal entities or self-employed individuals)



Industry and nature of business activities



Business registration details (e.g., registration number, date, jurisdiction)

3

Sources Used for Verification



Employer-issued documents (e.g., employment letter, pay slips)



Company website and official communications



Business registration databases (e.g., Secretary of State, Dun & Bradstreet, LexisNexis)



Publicly available sources (e.g., company profiles, industry directories)



Independent research and other reliable sources (where appropriate)

4

Key Considerations



Assess whether the occupation or business is consistent with the customer's profile and expected account activity



Understand the industry and associated risk factors (e.g., higher-risk industries)



Verify that the business appears legitimate and is operating in the stated industry



Consider the complexity of the business structure and ownership



Evaluate whether the information aligns with the customer's stated source of funds and expected activity

5

Outcome of Effective Collection



Better understanding of the customer's risk profile



More accurate assessment of expected account activity



Early identification of potential red flags



Stronger decision-making for onboarding and ongoing monitoring



Supports compliance with BSA/AML requirements and bank policies

Common Occupations and Industry Examples



Salaried Employee



Self-Employed / Freelancer



Business Owner (SME)



Professional (e.g., doctor, lawyer)



Retired



Student



Technology



Real Estate



Manufacturing



Import/Export & Trading



Financial Services



Hospitality & Tourism



Other Industries

Gathering KYC / Customer Data

Nature, Purpose & Expected Account Activity



1

Why This Information is Important



Helps understand how the customer intends to use the account



Supports risk assessment and appropriate monitoring



Helps identify potential misuse of the account (e.g., money laundering, fraud or terrorist financing)



Supports compliance with regulatory requirements and bank policies

2

Key Information to Collect



Nature and purpose of the account (e.g., savings, checking, business, investment)



Reason for opening the account



Expected account usage and types of transactions



Expected transaction volumes and frequency (e.g., deposits, withdrawals, wires, ACH, cash, checks, P2P)



Expected geographic activity (domestic and international)

3

Examples of Customer Purposes



Personal banking (e.g., salary, household expenses)



Business operations (e.g., receive customer payments, pay suppliers)



Investment and wealth management (e.g., securities, funds)



Education expenses (e.g., tuition, living costs)



International activity (e.g., travel, remittances, business expansion)

4

Expected Account Activity



Anticipated deposits (e.g., salary, business receipts, transfers)



Anticipated withdrawals (e.g., ATM, branch, online transfers)



Expected wire transfers (domestic and international)



Expected card activity (e.g., debit/credit card purchases)



Expected overall transaction volumes and frequency

5

Outcome of Collecting This Information



Provides a clearer understanding of the customer's risk profile



Enables more effective transaction monitoring



Helps detect unusual or suspicious activity earlier



Supports informed decision-making for account approval and ongoing monitoring



Strengthens overall AML compliance and risk management

Common Account Activities to Consider



Deposits (e.g., salary, business receipts)



Cash transactions (e.g., deposits/withdrawals)



Wires (domestic and international)



Card usage (e.g., purchases, ATM)



ACH and bill payments (e.g., utilities, rent)



Peer-to-peer transfers (e.g., payment apps)



International activity (e.g., remittances, trade)

Gathering KYC / Customer Data

Source of Funds & Source of Wealth

PAYSLIPS
BANK STATEMENTS
TAX RETURNS
BUSINESS FINANCIALS
PROPERTY DOCUMENTS



EMPLOYMENT INCOME
BUSINESS INCOME
INVESTMENTS
REAL ESTATE
INHERITANCE / GIFTS
OTHER SOURCES

1

Why This Information is Important



Helps understand the legitimacy and origin of funds and overall wealth.



Supports risk assessment and appropriate monitoring.



Helps identify potential financial crimes (e.g., money laundering, fraud, corruption, sanctions evasion).



Supports compliance with regulatory requirements and bank policies.

2

Source of Funds (SoF)



Refers to the origin of money being deposited or used to fund the account.



Examples: salary, business income, sale of assets, loan proceeds, inheritance, or investment proceeds.



Typically requires recent documentation depending on the type and size of transactions.



Assessed based on expected account activity and transaction patterns.

3

Source of Wealth (SoW)



Refers to the overall accumulation of a customer's wealth or net worth.



Examples: long-term employment income, business ownership, investments, real estate, inheritance, or other legitimate assets.



Usually required for higher-risk customers or where risk factors warrant deeper understanding.



Helps determine if the customer's profile and account activity are consistent with their known wealth.

4

Documentation & Verification Methods



Review reliable documentary evidence (e.g., payslips, tax returns, bank statements, business financials).



Use non-documentary methods where appropriate (e.g., public records, credit bureau information, reputable external sources).



Consider the source, reliability, and consistency of information across multiple sources.



Escalate for further review if information is incomplete, inconsistent, or does not align with the customer's profile.

5

Outcome of Collecting SoF & SoW Information



Better understanding of the customer's financial profile and risk level.



More effective detection of unusual or suspicious activity.



Informed decisions on account approval, limits and ongoing monitoring.



Supports compliance with AML/KYC requirements and regulatory expectations.

Common Sources of Funds & Source of Wealth



Employment income



Business income



Investments (securities, mutual funds)



Real estate (sale or rental income)



Inheritance or gifts



Loan proceeds (e.g., mortgage, personal loan)



Sale of assets (e.g., property, shares)



Other sources (e.g., overseas income)

Gathering KYC / Customer Data

Beneficial Ownership, Control & Authorized Parties



1

Why This Information is Important



Helps identify the individuals who ultimately own or control the customer.



Supports detection and prevention of financial crime.



Identifies potential sanctions, PEP or adverse media risks.



Required under regulatory requirements and bank policies for legal entity customers.

2

Information to Collect



Ultimate beneficial owner(s) (UBOs) (name, ownership %).



Controlling person(s) (individuals with control over management or key decisions).



Ownership structure (e.g., direct and indirect ownership).



Authorized signers (individuals permitted to operate the account).



Related parties (e.g., directors, senior management).

3

Sources of Information



Formation documents (e.g., certificate of incorporation, articles of organization).



Shareholder register and ownership charts.



Board resolutions and internal corporate records.



Independent sources (e.g., business databases, public records).



KYC questionnaires and customer-provided information.

4

Key Considerations



Identify individuals with 25% or more ownership (or threshold defined by regulation/bank policy).



Consider both direct and indirect ownership.



Assess control through other means (e.g., voting rights, management role).



Ensure all authorized signers are properly identified and verified.



Review and update information periodically and when changes occur.

5

Outcome of Collecting This Information



Clearer understanding of who owns and controls the customer.



Improved risk assessment and ongoing monitoring.



Early identification of potential red flags.



Supports compliance with AML/KYC requirements.



More effective decision-making for account approval and ongoing relationship management.

Key Individuals to Identify for Legal Entity Customers



Ultimate Beneficial Owners (UBOs)
Individuals who ultimately own the entity



Controlling Persons
Individuals who control management or decisions



Directors / Senior Management
Key decision-makers in the organization



Authorized Signers
Individuals permitted to operate the account



Related Parties
Other connected individuals where required

Gathering KYC / Customer Data

Geographic Information & Customer Risk Context

ADDRESS VERIFICATION
COUNTRY RISK ASSESSMENT
SANCTIONS SCREENING
PEP SCREENING
GEOGRAPHIC RISK



1

Why This Information is Important



Helps understand where the customer is located and operates.



Supports risk assessment and appropriate monitoring.



Helps identify higher-risk jurisdictions (e.g., sanctions, higher ML/TF risk, increased fraud risk).



Supports compliance with regulatory requirements and bank policies.

2

Information to Collect



Residential address (for individuals).



Business address(es) (for legal entities).



Country of residence / incorporation.



Countries where customer operates (e.g., business locations, branches, subsidiaries).



Expected geographic activity (e.g., domestic and international transactions).

3

Sources of Information



Customer-provided information (application forms, KYC questionnaires).



Official records (e.g., corporate registries, government databases).



Commercial databases (e.g., address verification, country risk tools).



Independent sources (e.g., reputable public records, official websites).



Internal bank systems (e.g., existing customer information).

4

Key Considerations



Assess country and regional risk (e.g., sanctions, AML/TF risk, political instability).



Consider the customer's global footprint and cross-border activity.



Review consistency between stated locations and other information (e.g., website, documents).



Determine if additional due diligence is needed for higher-risk jurisdictions.



Consider impact on ongoing monitoring (e.g., transaction patterns from higher-risk countries).

5

Outcome of Collecting This Information



More accurate understanding of the customer's risk profile.



Helps identify potential sanctions, PEP or adverse media risk.



Early detection of unusual or inconsistent geographic activity.



Supports informed decision-making for account approval and monitoring.



Stronger compliance with AML/KYC requirements and regulatory expectations.

Examples of Geographic Information



Residential address



Business address



Country of residence / incorporation



Countries of operation



Expected transaction locations



International activity (e.g., travel, trade)



Import/Export jurisdictions



Regional risk indicators (e.g., high-risk countries)

Gathering KYC / Customer Data

KYC Data Quality, Completeness & Consistency



1

Why This Information is Important



Ensures the customer information is reliable and usable for risk assessment.



Supports accurate customer due diligence and ongoing monitoring.



Helps identify potential fraud, money laundering or other financial crime risks.



Supports compliance with regulatory requirements and bank policies.

2

Information to Collect and Review



All required customer identification information (e.g., name, DOB, address, identification number).



Supporting documents (e.g., ID documents, formation documents, proof of address).



Account information (e.g., account type, expected activity, source of funds).



Related party information (e.g., beneficial owners, authorized signers).

3

Sources of Information



Customer-provided information (application forms, KYC questionnaires).



Government and official records (e.g., corporate registries, tax databases).



Internal bank systems (e.g., existing customer records, prior KYC data).



Independent external sources (e.g., reputable databases, public records, credit bureau information).

4

Key Considerations



Check for completeness of all mandatory fields and required documents.



Ensure consistency across different sources and documents (e.g., name, address, DOB).



Identify and resolve discrepancies or conflicting information.



Validate that information is current and has not expired (e.g., ID documents, address).



Update information periodically and when changes are reported (e.g., address, employment).

5

Outcome of Collecting This Information



Higher quality and reliable customer data.



More effective risk assessment and ongoing monitoring.



Early identification of inconsistencies, missing information or potential risks.



Informed decision-making for account approval and monitoring.



Stronger compliance with AML/KYC regulatory requirements, and bank policies.

Common Data Quality Issues



Missing information



Incorrect or incomplete details



Inconsistent information across documents



Expired documents



Duplicate records



Unverified information



Outdated information



Invalid or inconsistent formats



Conflicting information

Reviewing Internal & External Information



Reviewing Internal & External Information

Purpose & Principles of Independent Verification



1

Why This Information is Important



Helps confirm that customer-provided information is accurate and reliable.



Supports a better understanding of the customer's risk profile.



Helps identify potential red flags, inconsistencies or undisclosed information.



Strengthens compliance with AML/KYC requirements and bank policies.

2

Key Principles



Use reliable and appropriate sources.



Tailor the level of verification to the customer's risk profile.



Consider the relevance, accuracy and recency of the information.



Look for consistency across multiple sources and documents.



Ensure verification is performed in accordance with regulatory requirements and internal procedures.

3

Types of Information to Verify



Identity information (e.g., name, date of birth, identification number).



Address information (residential or business).



Business information (e.g., legal status, registration details, industry, operations).



Source of funds and expected account activity.



Beneficial ownership and control information.

4

How Verification is Performed



Review internal bank systems and existing customer records.



Use external reliable sources (e.g., government databases, commercial databases, public records).



Perform open-source research where appropriate.



Compare information across multiple sources for consistency.



Update and re-verify information periodically or when changes occur.

5

Outcome of Verification



Greater confidence in the accuracy and reliability of customer information.



More informed risk assessment and decision-making.



Early identification of potential risks or suspicious activity.



Better ongoing monitoring of the customer relationship.



Supports a stronger AML/CTF compliance framework.

Common Sources for Independent Verification



Government and official records (e.g., corporate registries)



Commercial databases (e.g., credit bureaus)



Internal bank systems and existing records



Public sources (e.g., websites, news, media)



Regulatory databases (e.g., sanctions lists, PEP lists)



Industry and professional sources (e.g., licensing bodies)



Open-source research



Customer-provided documents and information

Reviewing Internal & External Information

Existing Relationships & Previous KYC/CDD Records



1

Why This Information is Important



Helps identify if the applicant is an existing or former customer of the bank.



Provides a complete view of the customer relationship and history.



Helps identify potential risks, inconsistencies or previous suspicious activity.



Supports accurate risk assessment and informed onboarding decisions.

2

Information to Review



Existing accounts (across personal and business lines).



Previous KYC/CDD records and supporting documents.



Account history (e.g., open/close dates, product types).



Related parties (e.g., other accounts, joint owners, beneficial owners).



Notes from prior reviews, SAR filings, or risk ratings (if available).

3

Sources of Information



Core banking systems and customer information systems.



Previous KYC/CDD files and onboarding records.



Internal risk and compliance systems (e.g., screening results, SARs, alerts).



Prior account monitoring reviews and investigations (if applicable).



Related customer records across business lines (e.g., wealth management, lending, cards).

4

Key Considerations



Confirm whether the applicant is an existing customer, former customer or related to an existing customer.



Compare current application information with previous records for consistency.



Review past account activity and any account closures.



Identify any prior risk indicators, negative events or regulatory issues.



Understand and document any changes in customer profile, ownership, or expected activity.

5

Outcome of Reviewing This Information



Better understanding of the customer's relationship with the bank.



Improved risk assessment and informed decision-making.



Early identification of potential risks or suspicious activity.



More effective ongoing monitoring aligned with the customer's history and risk profile.



Supports compliance with AML/KYC requirements and internal policies.

Examples of Existing Relationship & Previous KYC/CDD Information



Previous customer profile



Account history



Prior KYC/CDD documents



Other accounts with the bank



Related parties and linked accounts



Previous alerts, SARs or investigations



Account closures and reasons



Risk ratings and internal notes

Reviewing Internal & External Information

Prior Account History & Internal Fraud/Risk Information



1

Why This Information is Important



Helps understand the customer's historical relationship with the bank.



Identifies potential risk based on past account activity or behavior.



Supports early detection of fraud, money laundering or other financial crime risks.



Ensures informed decision-making for onboarding and ongoing monitoring.

2

Information to Review



Previous accounts (individual and business).



Account opening dates, account types and status (open, closed, dormant).



Historical transaction patterns and activity trends.



Past KYC/CDD records, customer risk ratings and due diligence notes.



Any account closures, returned items or adverse account events.

3

Sources of Information



Internal core banking systems.



Customer information systems (CIF).



Previous KYC/CDD files and risk assessments.



Internal fraud and investigation systems.



SARs, suspicious activity alerts and compliance system notes.



Related customer records across business lines (e.g., lending, cards, wealth management).

4

Key Considerations



Review the full customer history across all products and business lines.



Look for unusual or suspicious past activity.



Assess prior risk ratings, investigations or SAR filings (if applicable).



Consider reasons for previous account closures or account restrictions.



Evaluate whether past issues have been resolved and if additional due diligence is needed.



Understand any relevant fraud alerts, charge-offs, disputes or policy exceptions.

5

Outcome of Reviewing This Information



Better understanding of the customer's overall risk profile.



Early identification of potential red flags.



More effective customer risk assessment and decision-making.



Informed account onboarding, approval or rejection decisions.



Strengthened ongoing monitoring and compliance with AML/KYC requirements.

Examples of Prior Account History & Internal Fraud/Risk Information



Previously opened accounts



Account closures and reasons



Historical transaction patterns



Prior fraud alerts



Previous SAR filings



Risk ratings and due diligence notes



Disputes, charge-offs or write-offs



Account restrictions



Policy exceptions or internal investigations

Reviewing Internal & External Information

Identity & Address Verification Results

IDENTITY VERIFICATION
ADDRESS VERIFICATION
SCREENING RESULTS
DOCUMENT REVIEW
INDEPENDENT SOURCES



1

Why This Information is Important



Helps confirm the customer's identity and residential or business address.



Supports accurate risk assessment and ongoing monitoring.



Helps identify potential identity fraud, synthetic identity or suspicious activity.



Supports compliance with AML/KYC requirements and bank policies.

2

Information to Review



Results of identity verification (e.g., name, DOB, identification number).



Results of address verification (residential or business).



Verification methods used (documentary and non-documentary).



Any discrepancies, partial matches or unverified elements in the results.

3

Sources of Information



Government databases (e.g., DMV, Social Security, credit bureaus).



Third-party verification vendors and identity verification tools.



Internal bank systems and prior customer records.



Independent sources (e.g., public records, utility records, commercial databases).

4

Key Considerations



Confirm that the identity and address have been successfully verified and match across sources.



Review the methods used and whether they are reliable and in line with bank procedures.



Investigate and resolve any mismatches, inconsistencies or partial matches.



Ensure information is current (e.g., not expired) and updated when changes are reported.

5

Outcome of Reviewing This Information



Greater confidence in the customer's identity and address.



Helps identify potential fraud or higher-risk customers.



Supports informed decision-making for account opening and ongoing monitoring.



Improved data quality and consistency across bank systems.



Supports compliance with AML/KYC regulations and internal policies.

Common Identity & Address Verification Sources



Government ID databases (e.g., DMV, Social Security)



Credit bureaus



Third-party identity verification vendors



Internal bank systems



Public records (e.g., property records, utility records)



Commercial databases



Address verification tools



Customer-provided documents (e.g., ID, utility bill)

Reviewing Internal & External Information

Business Registration & Legal Entity Verification



1

Why This Information is Important



Confirms the legal existence of the business and its registration status.



Helps assess the legitimacy of the customer and supports risk assessment.



Helps identify potential shell companies, misuse of entities or fraudulent structures.



Supports compliance with AML/KYC requirements and internal policies.

2

Information to Review



Business registration documents (e.g., articles of incorporation, formation documents).



Legal entity details (e.g., legal name, entity type, registration number, registration date, state/jurisdiction).



Business licenses and permits (where applicable).



Registered address and contact information.



Authorized signers and key personnel listed in official records.

3

Sources of Information



State Secretary of State websites (e.g., business entity search).



Government and regulatory databases (e.g., FinCEN, IRS, SEC – where relevant).



Commercial databases (e.g., Dun & Bradstreet, LexisNexis, Bloomberg).



Foreign corporate registries (for non-U.S. entities).



Customer-provided documents and internal bank records.

4

Key Considerations



Verify that the entity is active and in good standing in the jurisdiction of registration.



Check consistency of information across multiple sources and documents.



Confirm that the business activity and structure align with the customer's stated purpose.



Identify any discrepancies in name, address, entity type or ownership details.



Consider higher scrutiny for complex structures, foreign entities or higher-risk jurisdictions.

5

Outcome of Reviewing This Information



Greater confidence in the legitimacy and legal existence of the business.



More informed risk assessment and decision-making.



Early identification of potential high-risk entities, shell companies or inconsistencies.



Better ongoing monitoring of the customer based on verified entity information.



Supports compliance with AML/KYC regulations and internal policies.

Common Sources for Business Registration & Legal Entity Verification



State Secretary of State websites



Federal regulatory databases (e.g., FinCEN, IRS, SEC)



Commercial databases (e.g., Dun & Bradstreet, LexisNexis)



Foreign corporate registries



Customer-provided formation documents



Business licenses and permits



Internal bank systems



Other reliable public sources

Reviewing Internal & External Information

Beneficial Ownership & Control Verification



1

Why This Information is Important



Helps identify the true owners and control persons behind the legal entity.



Supports accurate risk assessment and ongoing monitoring.



Helps identify potential sanctions, PEP or adverse media risks related to owners or controllers.



Supports compliance with AML/KYC regulatory requirements and bank policies.

2

Information to Review



Beneficial owners (individuals meeting applicable ownership thresholds).



Ownership structure and percentage holdings.



Control persons (e.g., individuals with significant influence or control).



Organizational structure (holding companies, subsidiaries, intermediaries).



Supporting documents (e.g., formation documents, shareholder registers, board resolutions).

3

Sources of Information



Customer-provided documents (e.g., articles of incorporation, shareholder register).



Government and regulatory databases (e.g., FinCEN, SEC, state registries).



Commercial databases (e.g., Dun & Bradstreet, LexisNexis, World-Check).



Internal bank systems and prior KYC/CDD records.



Open-source information (e.g., company websites, press releases, media reports).

4

Key Considerations



Verify ownership and control information for accuracy, completeness and consistency.



Assess whether the identified beneficial owners and control persons align with the customer's stated business profile.



Look for complex structures, multiple layers or use of intermediaries.



Identify any owners or controllers who are sanctioned, PEP or linked to adverse media.



Re-verify information periodically and when there are changes to the entity structure.

5

Outcome of Reviewing This Information



Greater transparency on the true ownership and control structure.



More informed risk assessment and decision-making.



Early identification of potential high-risk owners or controllers.



Improved ongoing monitoring and escalation of emerging risks.



Supports compliance with AML/KYC regulations and internal policies.

Common Sources for Beneficial Ownership & Control Verification



Formation documents (e.g., articles of incorporation, bylaws)



Shareholder registers and ownership records



Government registries (e.g., state business registries, SEC)



Commercial databases (e.g., Dun & Bradstreet, LexisNexis, World-Check)



Internal bank systems and prior KYC records



Company websites and public records



Board resolutions and authorization documents



Customer-provided documents and representations

Reviewing Internal & External Information

Sanctions & PEP Screening Results



1

Why This Information is Important



Helps identify potential sanctions matches and PEP relationships at onboarding and during ongoing monitoring.



Supports compliance with U.S. sanctions regulations and PEP risk management requirements.



Helps prevent dealings with sanctioned parties and identifies higher-risk customers.



Supports informed decision-making and escalation to appropriate teams.

2

Information to Review



Screening results against sanctions lists (e.g., OFAC SDN List) and other applicable lists.



PEP screening results (including foreign and domestic PEP lists).



Match details (e.g., name, date of birth, aliases, addresses).



Associated entities, family members and close associates (for PEPs).



Alerts generated from internal screening systems and any related case notes.

3

Sources of Information



OFAC Sanctions List (Specially Designated Nationals - SDN).



Other U.S. government lists and international sanctions lists (as applicable).



Commercial screening providers (e.g., World-Check, LexisNexis, Refinitiv).



Internal bank screening systems and match alerts.



PEP lists from commercial providers and public sources (e.g., government websites, news sources).

4

Key Considerations



Assess the quality of the match (e.g., exact vs. partial match, common names).



Review match details and supporting information to determine if it is a true match.



Consider additional verification (e.g., date of birth, address, nationality, associated entities).



For PEPs, evaluate the role, level of influence and risk based on bank procedures.



Follow internal escalation procedures for potential matches and maintain documentation of the review.

5

Outcome of Reviewing This Information



Confirmed no match – proceed per bank procedures.



True match – escalate and follow enhanced due diligence or restricted account procedures.



Improved understanding of customer risk profile and associated parties.



Supports monitoring for changes (e.g., new sanctions or PEP listings).



Helps ensure compliance with U.S. sanctions regulations and PEP risk management policies.

Common Sanctions & PEP Screening Sources



OFAC SDN List



Other U.S. and international sanctions lists



Commercial screening providers (e.g., World-Check, LexisNexis, Refinitiv)



Internal bank screening systems



PEP lists (commercial and public sources)



Adverse media sources



Government websites



Internal case notes and alerts

Reviewing Internal & External Information

Adverse Media & External Risk Information

NEWS SOURCES
ADVERSE MEDIA SEARCH
RISK INDICATORS
THIRD-PARTY REPORTS
SCREENING RESULTS



1

Why This Information is Important



Helps identify potential reputational, legal and financial risks related to the customer.



Provides early indications of potential fraud, corruption, sanctions evasion or other illicit activity.



Supports informed risk assessment and decision-making.



Helps meet regulatory expectations to consider relevant adverse media and external risk information.

2

Information to Review



News articles from reputable media sources (for domestic and international coverage).



Information on regulatory actions, enforcement proceedings or government press releases.



Reports of criminal proceedings, investigations or litigation.



Adverse information on related parties (e.g., beneficial owners, key management, close associates).

3

Sources of Information



Reputable news outlets (e.g., major U.S. and international media).



Commercial adverse media databases (e.g., World-Check, LexisNexis, Dow Jones, Refinitiv).



Government and regulatory websites (e.g., DOJ, SEC, FinCEN, OFAC press releases).



Industry publications and credible open-source information.

4

Key Considerations



Assess the credibility and reliability of the source.



Evaluate the relevance of the information to the customer's risk profile.



Consider the date, context and severity of the report.



Review information on related parties and potential links to the customer.



Identify false positives and ensure appropriate escalation and documentation.

5

Outcome of Reviewing This Information



Better understanding of the customer's overall risk profile.



Early identification of potential red flags.



More effective due diligence and investigations where required.



Improved monitoring and escalation of emerging risks.



Supports compliance with AML/KYC regulations and internal policies.

Common Sources for Adverse Media & External Risk Information



Reputable news sources



Regulatory and government websites



Commercial adverse media databases (e.g., World-Check, LexisNexis, Dow Jones)



Industry publications and trade press



Open-source information



Court records and legal databases



Watchlists and risk databases



Internal case notes and previous alerts

Reviewing Internal & External Information

Government, Regulatory & Authoritative Sources

GOVERNMENT WEBSITES
REGULATORY DATABASES
ENFORCEMENT ACTIONS
COURT RECORDS
AUTHORITATIVE SOURCES



FEDERAL REGISTER

SEC ENFORCEMENT ACTIONS

FINCEN ADVISORIES

1

Why This Information is Important



Provides reliable and authoritative information about the customer, industry and associated parties.



Helps confirm legal existence, regulatory status and compliance history.



Identifies enforcement actions, regulatory concerns or other risk indicators.



Supports informed risk assessment and decision-making.

2

Information to Review



Government websites (e.g., state business registries, SEC, FinCEN, OFAC, DOJ).



Regulatory filings and registrations (e.g., SEC EDGAR, FinCEN MSB registry).



Enforcement actions, administrative orders and consent orders.



Court records and litigation information.



Industry-specific regulatory information and professional licenses (where applicable).

3

Sources of Information



U.S. federal government websites (e.g., FinCEN, SEC, OFAC, DOJ, CFTC).



State government websites (e.g., Secretary of State business registries).



Regulatory databases and search tools (e.g., SEC EDGAR, FINRA BrokerCheck).



Court and litigation databases (e.g., PACER, state court systems).



Other authoritative sources (e.g., industry regulators, professional licensing boards).

4

Key Considerations



Use official government and regulator websites and trusted databases.



Confirm the information is current and relevant to the customer.



Consider the jurisdiction and applicability to the customer's business and activities.



Look for enforcement actions, warnings, fines or other regulatory issues.



Cross-check information with other sources and document the review.

5

Outcome of Reviewing This Information



Greater confidence in the customer's legal existence and regulatory status.



Early identification of regulatory or enforcement issues.



Improved understanding of the customer's risk profile and industry regulatory environment.



More effective ongoing monitoring and escalation of potential risks.



Supports compliance with AML/KYC regulations and bank policies.

Common Government, Regulatory & Authoritative Sources



U.S. federal government websites (e.g., FinCEN, SEC, OFAC, DOJ)



State government websites (e.g., Secretary of State)



Regulatory databases (e.g., SEC EDGAR, FINRA BrokerCheck)



Court records (e.g., PACER)



Industry regulators and licensing boards



Enforcement actions and regulatory releases



Other reputable authoritative sources

Reviewing Internal & External Information

Information Reconciliation, Gaps & Escalation

- CUSTOMER INFORMATION
- KYC RECORDS
- EXTERNAL SOURCES
- DISCREPANCIES
- ESCALATION



1 Why This Information is Important	2 Information to Review	3 Sources of Information	4 Key Considerations	5 Outcome of Reviewing This Information
Helps ensure the information about the customer is accurate, complete and consistent.	Customer-provided information (e.g., KYC application, supporting documents).	U.S. government websites (e.g., SEC, FinCEN, OFAC, state business registries).	Compare information across multiple sources for consistency.	More complete and reliable customer information.
Identifies discrepancies, missing information or potential higher risk indicators.	Internal bank records (e.g., existing accounts, prior KYC/CDD, screening results).	Commercial databases (e.g., Dun & Bradstreet, LexisNexis, World-Check).	Identify and evaluate any discrepancies, missing information or unusual findings.	Early identification of higher-risk customers, false information or potential fraud.
Supports informed risk assessment and decision-making.	External sources (e.g., government registries, commercial databases, open-source information).	Internal bank systems and prior customer records.	Understand the materiality of gaps based on the customer's risk profile.	Timely escalation of significant gaps or discrepancies.
Ensures timely escalation of unresolved issues in line with bank policies and regulatory expectations.	Results from identity, address, sanctions, PEP and adverse media screening.	Customer-provided documents and supporting information.	Consider whether additional documents or clarifications are needed.	Improved risk assessment and due diligence outcomes.
	Information on related parties, beneficial owners and authorized signers.	Other reliable sources (e.g., industry publications, media reports, court records).	Escalate unresolved issues to the appropriate team according to bank procedures.	Stronger compliance with AML/KYC regulatory requirements and internal policies.

Common Examples of Gaps or Discrepancies					
Mismatch in name or date of birth	Address cannot be verified	Inconsistent business information	Undisclosed related parties or beneficial owners	Missing or incomplete documents	Conflicting information across sources
					Adverse information not disclosed by customer